

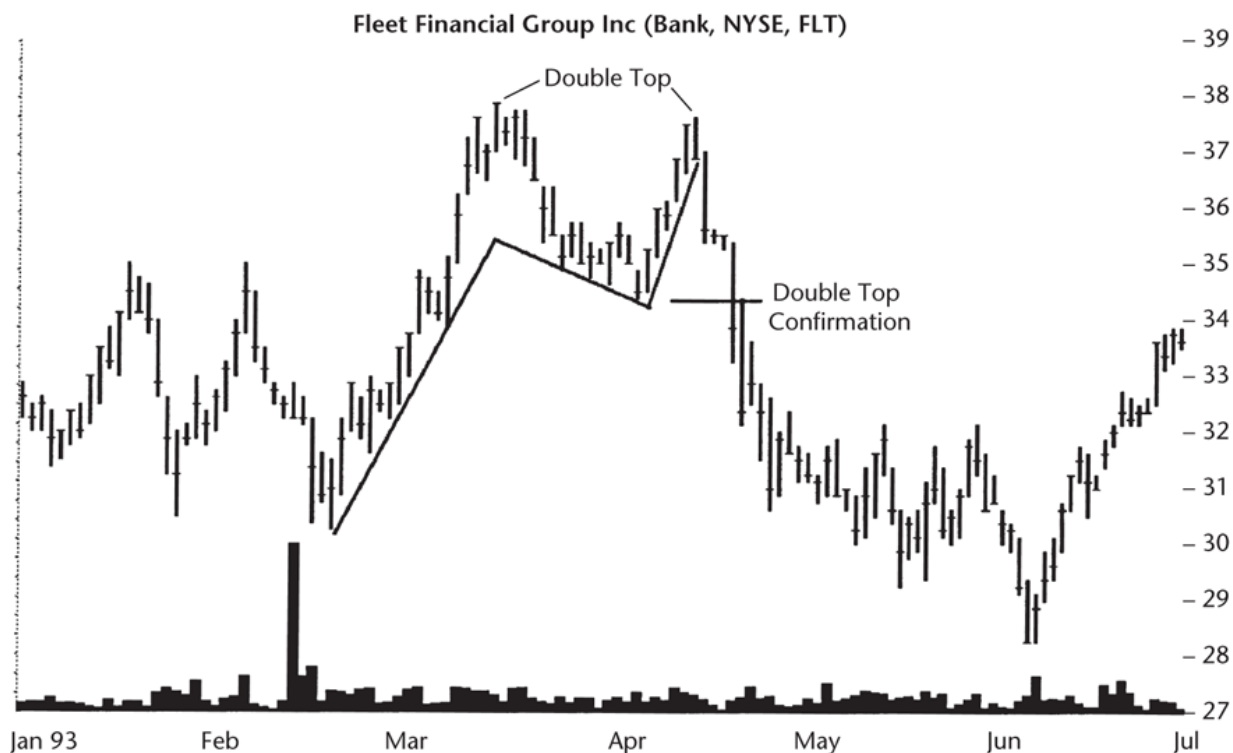


Figure 47.3 A measured move up that fails after turning into a double top.

Before we move on to statistics, I want to alert you to some identification problems. When price rises steadily for a long time, say over a year or more, and then begins a measured move up, the corrective phase might be excessively choppy.

Also, do not be too quick to buy into the situation. Remember that the corrective phase should be proportional to the first leg rise. By that I mean price should fall anywhere from 40% to 60% of the first leg move before beginning the second leg. If price only falls 15% before turning up, then it might be a false breakout.

Sometimes prior peaks are a key to how far price retraces. The peaks are often places of support. When price declines to that level, it pauses and moves horizontally for a time before continuing down or rebounding. Volume is often a key to the level of support you can expect from these types of situations. A prior peak with high turnover will give more support to a stock on its way down. That is not to say that the stock will not burn through support, just that it might take more of a push to fall off the cliff.